THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 8 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 1

Chapter 7: **Factors of Production** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Why is entrepreneurship called a distinct factor? 1

(a) It owns land
(b) It is capital
(c) It organises the other factors and bears risk
(d) It is labour

2. Leather factories polluting rivers show 1

(a) human capital **(b)** high wages
(c) CSR success **(d)** lack of environmental responsibility

3. A baker hires two helpers and buys an oven. The oven is 1

(a) capital **(b)** land **(c)** rent **(d)** wages

4. A farmer buying a tractor on a loan is using 1

(a) land only **(b)** wages **(c)** rent **(d)** capital

5. Which is likely to raise labour productivity? 1

(a) No tools **(b)** Less pay
(c) Training and better health **(d)** Longer shifts without rest

6. Which activity shows a responsible firm? 1

(a) Hiding pollution **(b)** Treating waste water before release
(c) Dumping waste **(d)** Underpaying workers

7. Labour differs from human capital in that human capital 1

(a) adds skills and knowledge **(b)** is land
(c) is only machines **(d)** is rent

8. A person who invests savings in a shop and manages it is acting as 1

(a) only worker **(b)** only customer
(c) only landlord **(d)** capital provider and entrepreneur

9. The idea of supply chains shows that 1

(a) machines are unneeded **(b)** production depends on many linked actors
(c) trade is unnecessary **(d)** one person makes everything

10. A country with young population benefits only if 1

(a) people are skilled and employed **(b)** there is no school
(c) there are many babies **(d)** there is no health

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why is entrepreneurship a separate factor? 2

12. Why do startups need capital? 2

13. Why is land important even for service firms? 2

14. How can technology change the mix of factors? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how the four factors work together in a bakery. 3

16. Explain how a pandemic can disrupt supply chains. 3

17. How can a firm discharge social responsibility? 3

OR

Distinguish between labour and human capital with examples. 3

18. Compare the rewards of land and capital. 3

OR

Explain the effect of mechanisation on labour-intensive sectors. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain how the factors of production interact in a business with an example. 5

OR

Examine the responsibilities of businesses towards workers, society and environment. 5

20. Discuss the role of human capital in a nation's development. 5

OR

Explain the role of entrepreneurs using Tata as an example. 5

END OF QUESTION PAPER — Total: 40 Marks

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